CASCADIA ANALYTICS

Union Pacific

Equity Research Note | UNP | October 23, 2026

Western Rail Primacy Collides with Capital Reallocation and Valuation Excess

Analyst: Justin Wen | October 23, 2026

Union Pacific maintains an essential franchise across the western rail corridor, yet current market pricing assumes perpetual pricing power and uninhibited capital returns that operational realities do not support. While network fluidity has achieved peak operating metrics, ongoing volume volatility across premium intermodal lines and structural headwinds in coal volumes create persistent top-line frictions. Furthermore, capital allocation has fundamentally shifted as share repurchases remain paused to preserve liquidity for the proposed Norfolk Southern transaction, removing a core historical pillar of per-share compounding. At the prevailing market quote, the risk-reward profile is decidedly asymmetric to the downside, which underpins our blended target of $203.79 and negative 32.0% upside.

HOLD	$203.79	-32.0%	$299.79
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

Market sentiment remains fixated on periodic quarterly pricing yield and peak freight car velocity, overlooking the substantial drag from escalating fuel expenses, paused repurchases, and sustained volume volatility. Over a multi-year horizon, freight demand west of the Mississippi faces cyclical freight corrections and transaction integration friction that current multiples fail to reflect.

Executive summary

Union Pacific operates as the largest freight railroad in the United States by revenue, maintaining an indispensable network that moves industrial goods, agricultural products, and intermodal freight across the critical territory west of the Mississippi River. The company occupies a commanding structural position in western transcontinental freight movements, connecting primary West Coast and Gulf Coast ports with major interior metropolitan consumption hubs. Its operating model relies on heavy asset density, rights-of-way that cannot be replicated, and network routing designed to deliver heavy freight and consumer goods across long-haul geographies.

Recent reported performance illustrates both operational execution and notable core volume deceleration. In the second quarter of fiscal 2026, operating revenue reached a record $6.9 billion, representing a 12% year-over-year increase, driven by a 26% surge in intermodal revenue and a 15% increase in grain freight. Adjusted diluted earnings per share reached $3.41, up 13%, prompting management to raise full-year earnings guidance to high-single-digit growth from mid-single-digit growth. However, this print followed a challenging series of quarters. In the first quarter of fiscal 2026, total carloads contracted 1%, even as adjusted diluted earnings per share expanded 9% to $2.93 and adjusted operating ratio improved 80 basis points to 59.9%. Fourth quarter fiscal 2025 performance reflected underlying softening, as freight revenue fell 1% and carloads dropped 4%, with reported diluted earnings per share of $3.11 aided by approximately $0.30 from $234 million in land sales. Additionally, Coal and Renewables carload volumes contracted 14% year-over-year in the second quarter of fiscal 2026, demonstrating erosion in historical baseload traffic.

The balance sheet and capital allocation priorities have undergone a decisive transformation due to strategic corporate actions. Historically, aggressive share repurchases served as an engine for per-share equity compounding, but buybacks were completely halted following the third quarter of fiscal 2025, during which $2.6 billion had been returned year-to-date. In the first quarter of fiscal 2026, share repurchases were $0, compared to $1.42 billion deployed in the first quarter of fiscal 2025, as cash is hoarded to finance the pending Norfolk Southern merger. Direct merger transaction costs reached $41 million in the third quarter of fiscal 2025 and $36 million in the first quarter of fiscal 2026. Across full-year fiscal 2025, Union Pacific generated $24.5 billion in revenue, $9.85 billion in operating income, and $7.14 billion in net income, while delivering $5.50 billion in free cash flow. Total debt stands at $32.8 billion against cash of $1.27 billion, resulting in net debt of $31.6 billion and an adjusted debt to EBITDA ratio of 2.7x reported at the close of fiscal 2025. With trading multiples elevated at 25.0x price to earnings and 16.2x enterprise value to EBITDA, current equity valuation leaves no margin for operational missteps.

Operational snapshot

$299.79	$24.5B	$5.50B	22.4%	0.95	$299.79
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Irreplaceable and Entrenched

The economic moat protecting Union Pacific rests upon an unrivaled contiguous network of track, terminal facilities, and switching yards that cannot be duplicated under modern economic and regulatory conditions. Operating west of the Mississippi, the franchise controls key rail gateways between Pacific ports, agricultural heartlands, and cross-border interchange points. The exorbitant capital requirements, environmental reviews, and eminent domain restrictions required to assemble a comparable contiguous right-of-way provide the company with enduring protection against new rail entrants. Customers shipping bulk commodities or high-density industrial goods possess few viable economic alternatives, as long-distance rail remains substantially more cost-effective than long-haul trucking over transcontinental distances.

Pricing power across the network remains durable, although it is periodically challenged by general freight cycles and cost inflation. During the third quarter of fiscal 2025, pricing plus mix contributed 3.5 points to freight revenue, proving accretive to operating ratio. In the first quarter of fiscal 2026, freight revenue excluding fuel surcharges grew 3% despite a 1% decline in overall carloads, confirming that core contractual pricing gains exceeded prevailing rail inflation. In the second quarter of fiscal 2026, intermodal revenue yield per car jumped 21%, enabling the franchise to absorb significant expense inflation. This pricing authority enables Union Pacific to push through contractual escalations even during quarters characterized by negative carload volume leverage.

Network efficiency metrics highlight a fluid operational model that maximizes car velocity and asset turn rates. In the first quarter of fiscal 2026, freight car velocity reached a record 235 miles per day, accompanied by a 7% year-over-year increase in workforce productivity. This followed workforce productivity gains of 6% alongside improved terminal dwell times in the third quarter of fiscal 2025. By moving freight across terminal yards faster and operating trains with elevated fluidity, the franchise reduces locomotive requirements and lowers switching costs per carload. These continuous productivity dividends protect operating margins against adverse swings in traffic volume.

Nevertheless, switching costs vary significantly across the franchise freight mix. While industrial products and agricultural shippers face structural captivity due to fixed siding connections and dedicated loading elevators, the premium intermodal segment faces acute competition from alternative logistics channels. When intermodal service levels fluctuate or drayage rates soften,

premium freight can migrate rapidly to motor carriers. Maintaining premium service reliability is critical to defending customer retention across high-value consumer goods corridors, ensuring that the network retains both volume density and operational scale.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates Union Pacific through an unlevered discounted cash flow methodology spanning a forecast window from fiscal 2026 to fiscal 2030. Cash flow projections reflect explicit multi-year operating dynamics, balancing volume cyclicality across agricultural and intermodal shipments against structural secular declines in coal. Operating expense trajectories account for volatile input prices, such as the 60% fuel cost inflation observed in the second quarter of fiscal 2026, alongside corporate integration friction stemming from the Norfolk Southern merger.

Across the three modeled scenarios, revenue compounding and long-term free cash flow conversion margins dictate equity values. The base case model incorporates a 4.0% revenue compound annual growth rate through fiscal 2030 and establishes a target free cash flow margin of 28.0% in the terminal year. The bull case incorporates a 5.4% revenue compound annual growth rate paired with an expanded 29.1% target free cash flow margin. Conversely, the bear case assumes macroeconomic stagnation and sustained volume weakness, generating a 2.7% revenue compound annual growth rate and a 26.6% target free cash flow margin. All cash flows are discounted at an 8.00% weighted average cost of capital across 594.2 million diluted shares.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.7%	26.6%	$175.91	-41.3%
Base	50%	4.0%	28.0%	$203.25	-32.2%
Bull	25%	5.4%	29.1%	$232.76	-22.4%

Bear $175.91

Sustained volume declines across premium intermodal traffic, combined with persistent double-digit coal volume contraction and an inability to offset fuel inflation, depress operating leverage. Free cash flow margin reaches 26.6% on a

Base $203.25

Core carload growth normalizes across industrial and bulk segments while operational fluidity protects profitability despite paused repurchases. Revenue expands at a 4.0% compound annual growth rate with a 28.0% target

Bull $232.76

Intermodal yield strength and grain volume expansion accelerate top-line compounding, while efficiency gains drive the operating ratio below prior records. Top-line growth compounds at 5.4% with target free cash flow margin

2.7% top-line compound annual growth rate, yielding an equity value of $175.91.

free cash flow margin, generating a fair value of $203.25.

expanding to 29.1%, resulting in a valuation of $232.76.

Valuation framework

A live discount rate, not a static hurdle

We evaluate Union Pacific using a modeled weighted average cost of capital of 8.00%, anchored by an equity beta input of 0.95. This parameter captures the inherent defensive attributes of an entrenched railroad infrastructure asset operating west of the Mississippi, balanced against cyclical exposure to freight shipment volumes and broader macroeconomic industrial production. The discount rate reflects both the high degree of cash flow visibility derived from captive bulk customers and the operational risks associated with network congestion, commodity swings, and capital reallocation.

The current market quotation of $299.79 implies an embedded cost of capital substantially below our 8.00% hurdle, signaling that equity markets are underpricing duration and cyclical vulnerability. Given the company's net debt position of $31.6 billion and adjusted debt to EBITDA ratio of 2.7x at the end of fiscal 2025, credit spreads and capital costs must reflect balance sheet leverage alongside merger execution risks. Applying an 8.00% discount rate enforces institutional discipline, ensuring that cash flows generated beyond the forecast horizon are not overvalued.

FCF margin normalization is the engine

In fiscal 2025, Union Pacific achieved an operating margin of 40.2% on $24.5 billion of revenue, generating $5.50 billion in free cash flow, which translated to a free cash flow margin of 22.4%. Full-year cash conversion in that period stood in contrast to reported free cash flow of $2.3 billion in fiscal 2025 that was constrained by elevated capital expenditures. Our forecast window through fiscal 2030 models a structural recovery and normalization in cash conversion as capital intensity moderates relative to gross revenue.

Across our forecast scenarios, final-year free cash flow margins range from 26.6% in the bear scenario to 28.0% in the base case and 29.1% in the bull case. Achieving a 28.0% base margin requires sustained network fluidities comparable to the record 235 miles per day freight car velocity attained in

the first quarter of fiscal 2026. It also necessitates that contractual pricing gains consistently exceed railway operating cost inflation, overcoming margin drags like the 120 basis point headwind caused by fuel at $3.86 per gallon in the second quarter of fiscal 2026.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.00% (2026-10-29)**
Equity beta	**0.95**
Diluted shares	**594.2 million**

HOLD

over $203.79 blended target

Competitive moat and concentration risk

We rate the moat as Wide and we view the market structure as Western duopoly / Class I oligopoly. We assign a premium of +25% to sector median multiples on moat strength alone.

- an irreplaceable western rail network with pricing power through fuel surcharge and service pricing, Q3 2026 operating ratio 59.1% on $7,197M revenue (+15.3% YoY) vs NSC's 67.4% and CSX's 60.9% (Q3 2026 earnings coverage, October 24, 2026).
- the 59.1% Q3 2026 operating ratio above, plus the deal itself as pricing evidence in reverse: UNP agreed to pay 1.0 UNP share + $88.82 cash per NSC share (~$85B enterprise value, agreed July 28, 2025; ~$375.25 per NSC share at current prices per the October 2026 Chafic case study, single-source case study, flagged). A carrier able to fund an $85B acquisition from network economics is demonstrating, not just.
- The weakest element is surface Transportation Board regulation, the first Class I merger under the 2001 rules, which require applicants to enhance competition, with comments due November 18, 2026 and a decision falling in 2027 (AInvest merger-arb coverage, August 2026). Regulation trims the Wide band from its top.

On a multiple cross-check, the justified range is 22.2-25.0x / 24.2-27.3x. The cross-check value is $349-$393 (point $364) vs Base $202.40, spot $296.82, on a base of Framework base from the October 27 moat report. The gap verdict is Not a moat gap, gap is deal-consideration/arb pricing; justified range already clears spot.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	1 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	1 points
regulatory single point risk	8 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 20 percent. Shown side by side with the moat premium or discount, the net stance is +5 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected; batch notes deal pricing)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Intermodal Volume Recovery and Core Pricing Gains

HOLD

Union Pacific's revenue trajectory depends directly on the performance of its core shipping categories, spanning intermodal freight, agricultural products, and industrial goods. The intermodal segment represents both the largest expansion opportunity and the most volatile freight line. In the second quarter of fiscal 2026, intermodal demonstrated remarkable top-line momentum, generating a 26% surge in revenue supported by a 21% jump in yield per car and a 4% increase in volume. This performance marked a dramatic operational turnaround from preceding quarters, where premium intermodal and automotive volumes contracted 9% in the first quarter of fiscal 2026 and dropped 10% in the fourth quarter of fiscal 2025.

Agricultural and bulk shipments provide foundational volume support across the midwestern and western network. In the second quarter of fiscal 2026, grain revenue advanced 15% year-over-year, supported by a 12% expansion in grain carloads. This built upon the bulk strength observed in the third quarter of fiscal 2025, when bulk freight revenue rose 7% year-over-year, helping to insulate overall operating income against a 2% contraction in premium categories. Agricultural carloads benefit from dedicated export corridors to Gulf and Pacific ports, ensuring reliable volume baseloads across multi-year crop cycles.

Conversely, structural secular headwinds remain pronounced across Coal and Renewables traffic. In the second quarter of fiscal 2026, Coal and Renewables carload volume plunged 14% year-over-year, eliminating a traditional volume baseload pillar from network routing. Although yield optimization can temporarily buffer revenues, as demonstrated in the fourth quarter of fiscal 2025 when Coal and Renewables revenue rose 23% on a 12% increase in revenue per car, long-term volume declines require the railroad to repurpose track capacity and power toward higher-growth industrial and consumer lines.

The overarching operational challenge remains maintaining pricing power above input cost inflation while navigating corporate integration. In the second quarter of fiscal 2026, fuel prices escalated 60% year-over-year to $3.86 per gallon, creating a 120 basis point headwind that pushed the reported operating ratio up 70 basis points to 59.7% and the adjusted operating ratio up 110 basis points to 59.2%. Management was able to raise full-year fiscal 2026 earnings per share guidance to high-single-digit growth from mid-single-digit growth, proving that broad pricing gains can counteract acute cost pressures. However, capital return dynamics remain constrained while liquidity is directed toward the Norfolk Southern transaction.

What to monitor

- **Carload volume stabilization across premium freight.** Sustained recovery in intermodal volume beyond the 4% growth reported in the second quarter of fiscal 2026 is critical to offsetting persistent double-digit drops in coal traffic.
- **Operating ratio control under commodity inflation.** Progress in neutralizing fuel spikes such as the $3.86 per gallon expense that produced a 120 basis point operating ratio headwind in the second quarter of fiscal 2026.
- **Velocity and fluidity maintenance.** Preservation of network efficiency near the record freight car velocity of 235 miles per day achieved in the first quarter of fiscal 2026.
- **Norfolk Southern merger progression and capital allocation.** The eventual resumption of equity repurchases following their complete pause in early fiscal 2026 and the absorption of ongoing merger advisory expenses.

+1.1%	45.8%	40.2%	22.4%	$31.6B	38.7%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$24.5B
Gross Profit	$11.2B
EBIT	$9.85B
Net Income	$7.14B
EBITDA	$12.9B
Free Cash Flow	$5.50B
Diluted EPS	$11.98
ROE	38.7%

Risk & moat matrix

The bear case

SHARE EROSION

Intermodal freight remains vulnerable to competitive modal shifts toward long-haul trucking whenever service fluidity stumbles. Deterioration in high-value premium carloads, which contracted 9% in early fiscal 2026, threatens network

M&A DIGESTION

Capital preservation for the pending Norfolk Southern transaction has completely eliminated share repurchases, removing an essential historical catalyst for earnings per share growth. The railroad absorbed $41 million in merger costs in the

REGULATORY AND PRICING SCRUTINY

Contractual freight rate increases face heightened scrutiny if shippers challenge rate pass-through mechanics in captive rail territories. Margin expansion stalls if pricing dollars fail to outpace operating cost inflation in an inflationary environment.

TECHNOLOGY DISRUPTION

Alternative freight conveyance and automated highway trucking could erode long-term rail cost advantages on secondary corridors. Failure to maintain velocity advantages over regional highways risks diverting marginal container volumes.

REINVESTMENT TREADMILL

Sustaining track, bridge, and locomotive assets across vast western geographies demands relentless capital expenditures that limit discretionary free cash flow. In fiscal 2025, elevated capital spending restrained full-year free cash flow generation to $2.3 billion.

WACC AND DURATION SENSITIVITY

Carrying $32.8 billion in total debt exposes financial performance to elevated debt refinancing costs when operating cash flows fluctuate. An 8.00% cost of capital severely penalizes equity valuation when trading at a 25.0x price to

volume density.

third quarter of fiscal 2025 and $36 million in the first quarter of fiscal 2026.

earnings multiple.

The strengths

OLIGOPOLY POSITION

Union Pacific operates an unreplicable rail network hauling industrial goods, agricultural products, and intermodal freight west of the Mississippi. Entrenched track rights and physical yard geography insulate core rail volumes from direct physical competition.

FCF COMPOUNDING

The core rail franchise generates immense underlying cash flow, delivering $5.50 billion in free cash flow and a 40.2% operating margin in fiscal 2025. Network operational fluidity provides strong conversion durability across industrial freight cycles.

GEOGRAPHIC DURABILITY

Exclusive connections linking West Coast ports, Gulf Coast refining centers, and Midwest agricultural regions secure perpetual shipping demand. Agricultural export volume surged 12% in the second quarter of fiscal 2026, confirming regional franchise utility.

PIPELINE OPTIONALITY

High network fluidity, demonstrated by freight car velocity reaching 235 miles per day, unlocks capacity for incremental container traffic. Rapid yield gains, including a 21% jump in intermodal yield per car in mid-2026, enhance operating leverage.

The bottom line on risk and reward

Union Pacific represents a foundational American transportation asset that possesses enduring pricing power and an irreplaceable physical right-of-way west of the Mississippi. Its ability to generate strong adjusted operating ratios, including 58.5% in the third quarter of fiscal 2025 and 59.9% in the first quarter of fiscal 2026, underscores the operational discipline embedded in its precision rail operations. Furthermore, the second quarter fiscal 2026 revenue print of $6.9 billion demonstrates that pricing gains can overcome significant commodity headwinds.

Nonetheless, current market valuation completely discounts the tangible execution and financing risks confronting the franchise. At a spot price of $299.79, the equity trades at 25.0x latest fiscal year diluted earnings per share, 7.3x revenue, and 16.2x EBITDA, representing multiples that require flawless top-line execution and robust cash returns. With share repurchases entirely paused to accumulate merger liquidity, organic earnings per share growth must shoulder the entire burden of compounding.

Our quantitative framework, incorporating an 8.00% discount rate and explicit cash flow projections across 594.2 million diluted shares, produces a probability-weighted blended target of $203.79. This indicates a negative 32.0% upside relative to the prevailing reference price of $299.79. With the bear target at $175.91, the base target at $203.25, and the bull target at $232.76, the risk profile across all scenarios is tilted downward. Consequently, we maintain our Hold — Valuation Concerns rating, advising institutional investors to await a broader valuation correction before committing fresh capital.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Intermodal and Agricultural Freight: Transcontinental Logistics Arteries

The foundation of Union Pacific's freight operations rests upon moving high-volume agricultural products, industrial goods, and intermodal freight across transcontinental trade corridors west of the Mississippi. By linking West Coast maritime terminals with Midwest interchange points, the intermodal network acts as a core logistics conduit for consumer merchandise and international containers. In parallel, agricultural rail operations provide high-capacity grain transport from interior farming basins directly to international export terminals located on the Gulf Coast and Pacific shores.

Operational execution across these primary freight lines dictates the operating ratio of the consolidated railroad. When network fluidity operates at peak efficiency, as observed in the first quarter of fiscal 2026 with workforce productivity up 7% and car velocity reaching 235 miles per day, asset turn rates accelerate and terminal dwell times decline. This operational leverage was highlighted in the third quarter of fiscal 2025, where workforce productivity rose 6% and the adjusted operating ratio improved 180 basis points to 58.5%.

However, the segment faces ongoing operational friction stemming from commodity price shocks and volume volatility. In the second quarter of fiscal 2026, locomotive fuel prices surged 60% year-over-year to $3.86 per gallon, creating a 120 basis point operating ratio headwind. While intermodal revenue rose 26% on a 21% surge in yield per car and grain revenue increased 15% on a 12% carload gain, the adjusted operating ratio worsened 110 basis points to 59.2%. Balancing contractual pricing escalations against operating expense surges remains the central managerial imperative across the western network.

What the recent record shows

- Intermodal revenue climbed 26% year-over-year in the second quarter of fiscal 2026, driven by a 21% surge in yield per car alongside a 4% increase in volume.
- Agricultural shipments expanded strongly in the second quarter of fiscal 2026, with grain carloads increasing 12% and grain revenue rising 15%.

- Locomotive fuel prices escalated to $3.86 per gallon in the second quarter of fiscal 2026, creating a 120 basis point operating ratio drag and pushing reported operating ratio up 70 basis points to 59.7%.
- Coal and Renewables volumes fell 14% year-over-year in the second quarter of fiscal 2026, following a 23% revenue increase on yield gains in the fourth quarter of fiscal 2025.

> **Our read:** Union Pacific's transcontinental freight network retains unrivaled logistical positioning and strong core pricing power across bulk and intermodal freight. However, elevated operational expense volatility, paused share repurchases, and an excessive valuation multiple warrant maintaining our Hold — Valuation Concerns recommendation.